

8.3 Achieving sustainable development

Sustainable development has been defined by the UN as:

‘development that meets the needs of the present without compromising the ability of future generations to meet their own needs’.

This means that the social, economic, and environmental needs of the present should be met, while protecting the needs of the future. We should not, for example, exhaust resources and we must protect environments. Source A shows the three pillars that form the basis of sustainability.

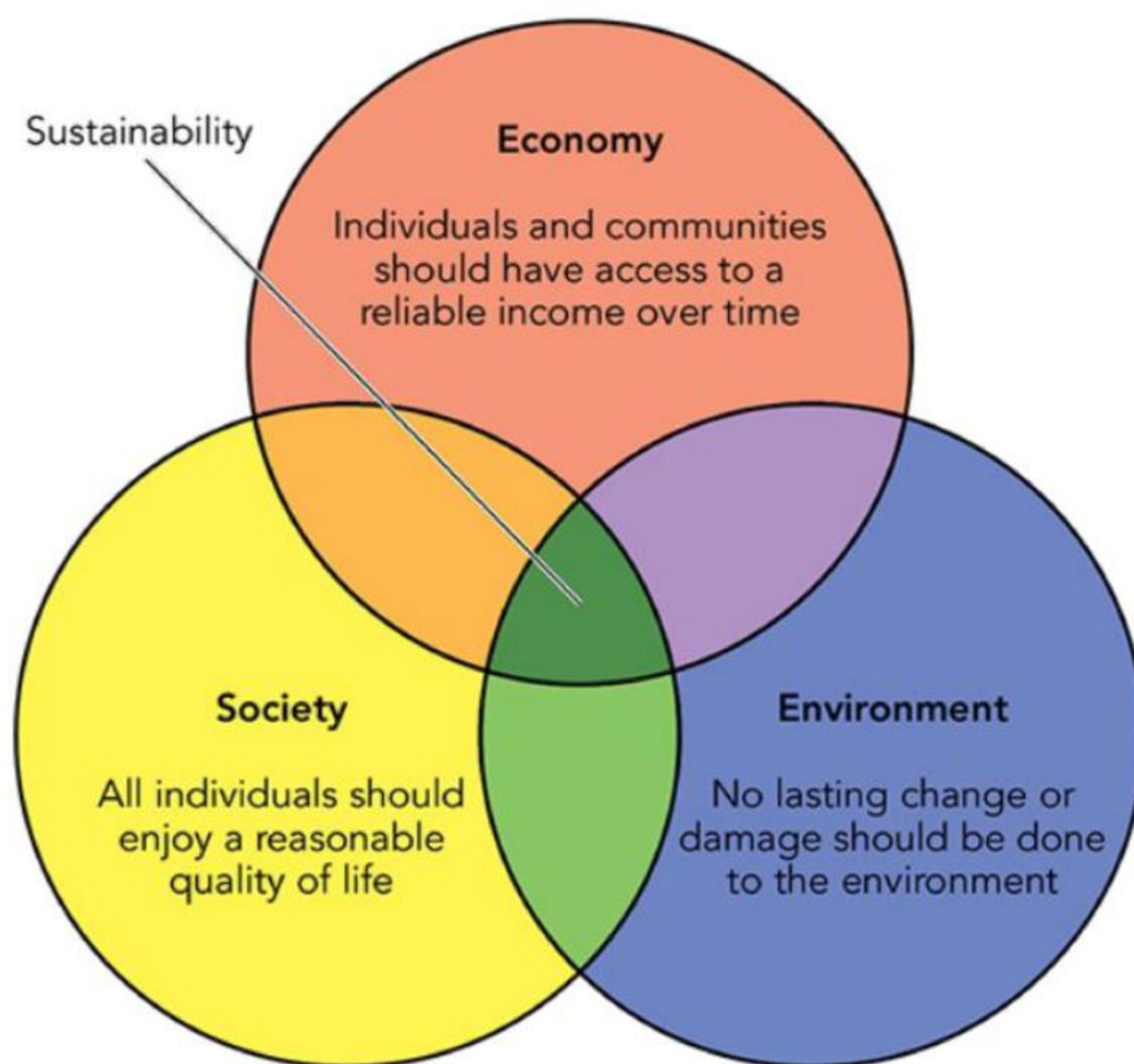


Figure 8.3: Sustainable development

Social, economic, and environmental strategies and techniques to achieve sustainable development

A range of strategies are used to improve the quality of life of the world's poorest people. These strategies can be placed into two main categories: **top-down** and **bottom-up development strategies**.

Top-down strategies

Top-down strategies are development decisions made by governments or large companies. Often countries work together to tackle a range of social, economic, and environmental development challenges. They aim to develop a region or a country and they typically include large-scale and expensive development projects, such as building a hydroelectric dam for thousands of people.

An example of a top-down development strategy is the UN Sustainable Development Goals (SDGs). The SDGs are an internationally agreed set of 17 different goals that aim to provide a plan for peace and prosperity for people and the planet, now and in the future. The aim is for countries to work together in a global partnership to make progress on sustainable development. The main aims are to end poverty, fight inequality and injustice, and tackle climate change by 2030. There is a focus on improving health and education and boosting economic growth to provide a roadmap for human development on an international scale.

SUSTAINABLE DEVELOPMENT GOALS



Figure 8.4: The UN Sustainable Development Goals

► Image Description

There are different techniques for implementing these top-down strategies, including policy, aid, and trade.

Policy

The funding and management for top-down policies mainly comes from national governments. An example of a top-down policy to help close the development gap is debt relief. Debt relief is when governments or powerful organisations cut or cancel a nation's debt. Some countries in the world, due to high interest rates, cannot afford to pay back debt on loans that they took out in the 1970s and 1980s. This means they cannot afford to invest in healthcare, education, and infrastructure to develop their country. For example, the World Bank agreed a debt relief policy with Uganda. They cancelled \$1.5 billion of debt, and therefore the Ugandan government was able to spend more money on providing free primary education.

Aid

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Aid is the voluntary transfer of resources from one country to another. **Bilateral aid** is given directly by a donor (often a HIC) to a recipient (usually a LIC) with an agreement attached to the aid, such as the recipient country has to give building projects to the donor country. For example, the Akosombo dam in Ghana was built using investment from the World Bank and aid from the USA and UK. The dam provided hydroelectric power to produce aluminium. Ghana sells this aluminium abroad, bringing money into the country through international trade to help them develop. The aluminium plant is owned by an American company who earn money from the process, and therefore Ghana does not benefit as much as it would if they owned the company.

Multilateral aid is when HICs give money to international organisations, such as the World Bank or the UN. These organisations then redistribute the money in the form of loans to poorer countries. Aid may be delivered on a short-term or long-term basis. **Short-term aid** helps in an emergency, such as a natural disaster and usually involves food, shelter, search and rescue, bottled water, and clothing. **Long-term aid** is sustainable if it brings benefit to the economy, society, and the environment.

Trade

Trade is the exchange of goods, money, and services between countries. Trade promotes economic growth and poverty reduction, which are two of the SDGs. Trade helps increase the quality and quantity of jobs in LICs. Trade also means that consumers can enjoy a greater variety of goods and services at lower cost, improving quality of life.

Transnational corporations (TNCs) are very large global companies that operate in several countries. TNCs directly invest in countries, often buying local resources, products, and services and providing new jobs and skills for local people, which benefits local economies. The extra money created by TNC investment can be spent on education, health, and infrastructure projects. This can have long lasting development impacts.

Bottom-up strategies

Bottom-up development projects are much smaller in scale and are often led by local people with the assistance of non-governmental organisations (NGOs).

Non-governmental organisations

NGOs are non-profit, voluntary groups of citizens who work on a local, national, or international level to tackle different development issues. They are not controlled by governments. NGOs include Oxfam, the Red Cross, and Fairtrade International. ‘Helping people to help themselves’ is a term often used by NGOs to define their philosophy.



Figure 8.5: Fairtrade International focuses on supporting farmers to earn a fair living wage

Fairtrade International, for example, focuses on supporting farmers to earn a fair living wage. Fairtrade products include coffee, chocolate, sugar, tea, and fruit. An increasing number of TNCs, including Nestle (coffee) and Cadbury (chocolate), together with some large supermarkets, are being encouraged by shoppers to stock and support fairtrade products. Customers are often willing to spend a little extra money on these products because they see it as an ethical consumption choice. Fairtrade International standards mean farmers have a more reliable income. This can help lift them out of poverty and improve quality of life within communities, as more money can be spent on improved diets, education, and healthcare projects.

Microfinance

Microfinance is a strategy that provides small loans of money to poor or vulnerable people who do not have access to banking services. This allows people to start or expand their business, increase their income, invest in education, get access to healthcare, and help themselves, their families, and communities escape poverty. With extra money, people will also spend more money on goods and services, boosting the local economy.

TASK 1

- a Explain the difference between development and sustainable development.
- b Suggest how improving gender equality (SDG 5) can help close the development gap.
- c Explain the differences between top-down and bottom-up development strategies.

Evaluating top-down strategies and techniques

The UN Sustainable Development Goals have their strengths and weaknesses. The goals were agreed after widespread consultation from all UN member countries and apply to all countries (not just poorer ones). However, there are few guidelines in how governments are expected to deliver their own SDGs and the targets are not legally enforced. Major crises, like pandemics and war, can have a significant negative impact on a country's ability to meet SDG targets.

Aid can increase the rate and level of development in countries as it can be invested in projects such as those with a focus on education, public health, and skills development. It is a very effective development tool when used alongside sound economic policies and good governance. Aid can also help countries respond to emergencies, without diverting the country's own resources away from longer term development. However, aid can suffer from corruption. For example, not funding development projects and instead, funding civil wars. Aid can also be inefficiently distributed in some countries. For example, Nepal has been one of the highest recipients of aid, yet 35% of its population still live below the poverty line. Some LICs can also become dependent on aid and fall into more debt.

International trade has the ability to make major contributions to economic growth and development. One of the issues with trade, though, is that many LICs

often have little to offer the global marketplace in terms of manufactured goods. This means that many LICs are trapped in a cycle of supplying raw materials to HICs. This does not generate much wealth since most value is added to products during the manufacturing process. Having large supplies of minerals is therefore no guarantee of rapid economic development.

Investment by transnational corporations can create stable employment and regular income for local people. They often help to develop the local infrastructure including roads, water, and power supplies. TNCs may also contribute to social welfare projects, including improving health and education. However some TNCs have been criticised for exploiting employees with poor working conditions, long hours, and low pay. Profits mainly go back to the TNC country of origin rather than being used to develop the local area. Environmental regulations are also often less restrictive in LICs, resulting in air, water, and land pollution. You can read more about this in [Topic 9](#).

TASK 2

‘To close the development gap, aid is better than trade.’ In pairs, discuss this statement.

Evaluating bottom-up strategies and techniques

NGOs work directly with individuals, families, and communities. This means NGOs can usually provide development projects directly for the people who need it. Fairtrade International have been supporting cocoa farmers in Ghana by ensuring that they get a fair price for their cocoa beans. For example, they have been supporting a cocoa-growing co-operative called Kuapa Kokoo, certifying them ‘Fairtrade’ in 1995. By 2013, about 50% of their sales came from Fairtrade sales. With the additional income, the co-operative has improved the quality of life of its members and helped farmers, especially female farmers, empower themselves. Their sales have funded construction of schools in the area, pump wells and bore holes for drinking water, and day care centres for children. The work of NGOs, however, is often limited. These types of projects are usually small-scale and therefore don’t lead to development on a large scale.

Techniques like microfinance can help an individual in need establish a small business and start generating an income. By joining together, a group of small borrowers can reduce the cost of the loan. Joining together also increases community engagement and organisation. However, these are often small loans, some with interest rates that have to be paid back and can lead to a debt problem if not invested effectively. As with the work of NGOs, this technique doesn’t necessarily lead to development on a wider scale.

Fairtrade accused of failing to deliver benefits to African farmworkers

Fairtrade is one of the world’s most trusted ethical schemes, with two million farmers and workers across 70 countries around the world. Fairtrade products contribute to the funding of schools, health clinics, sanitation, and other social projects in rural areas. Fairtrade sets social, economic, and environmental standards for the companies and farmers involved in the supply chain and helps farmers earn secure and sustainable livelihoods.

Sales of Fairtrade-certified products from Uganda and Ethiopia are not benefiting poor farmworkers as profits fail to trickle down to the workforce. A UK government-sponsored study, which investigated the production of flowers, coffee, and tea in Ethiopia and Uganda, found that ‘where Fairtrade flowers were grown, and where there were farmers’, groups selling coffee and tea into Fairtrade certified markets, wages were very low.’ Researchers said they also found evidence of the widespread use of children being paid to work on farms growing produce for Britain’s leading ethical label. The research reported that many of the poorest farmers did not have access to facilities. In one Fairtrade tea co-operative, the modern toilets funded with the Fairtrade premium were exclusively for the use of senior managers. Fairtrade has not been an effective mechanism for improving the lives of the poorest rural people.

Fairtrade International said the report’s conclusions were unfair and generalised because it compares the wages, and working conditions of workers in areas where small-scale Fairtrade-certified tea and coffee farmers were present with those on large-scale plantations.

Source **A**: Fairtrade International article. Source: The Guardian

TASK 3: Study Source **A**

a

Outline the aims of Fairtrade.

b

Explain three benefits to farmers of having a more reliable income through Fairtrade.

c

Explain, according to the report, three criticisms of Fairtrade in Uganda and Ethiopia.

d

Evaluate the advantages and disadvantages of bottom-up development strategies provided by NGOs such as Fairtrade International.

PROJECT

Development is a complex term. Every country in the world is at a different stage of development. Closing the global development gap is a complex process to achieve and maintain. There are many top-down and bottom-up strategies, each with its own strengths and weaknesses.

In small groups, plan and write a script to record a 5–7-minute podcast. Your group are international development experts and you are answering this

question, ‘How effective are the strategies to close the global development gap and improve quality of life?’ A good recording should:

- focus on the question
- show evidence of good planning
- refer to a range of top-down and bottom-up strategies
- refer to strengths and weaknesses of a range of strategies
- use a wide range of appropriate terminology.

REFLECTION

Did you work well as a group? Why or why not? Next time you do group work, what would you do differently? What skills would you improve upon as a team?